The Two Primitives of Spot Market Strategy

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Abstract

This paper argues that in a single, reasonably efficient spot market, there exist only two fundamental trading strategies. The argument rests on a logical constraint: in spot markets, profit derives exclusively from price movement in the direction of one's position. For a trader to enter a position, they must have a reason to expect that movement. That reason must take one of two forms: either the current price is *low* relative to some reference level and should rise (the logic of Mean Reversion), or the current price is *high* relative to some reference level and signals a breakout that should continue (the logic of Momentum). There is no third positional argument. A price that is neither low nor high—a price in the middle—provides no directional justification and is untradeable in spot markets. This logical constraint, not merely empirical resemblance, makes Mean Reversion and Momentum the exhaustive primitives of spot market strategy. We demonstrate that value investing, growth investing, arbitrage, pairs trading, and trend following all reduce to variations of these two primitives, and briefly discuss the conditions under which each dominates.

Keywords: momentum, mean reversion, market strategy taxonomy, trend following, value investing, arbitrage

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1. Introduction

In a spot market, there is only one way to profit: buy an asset, wait for its price to rise, and sell it at a higher price. Whatever the strategy, whatever the philosophy, whatever the analytical framework, the profit mechanism is always the same. Price must move in the direction of the position.

This simple fact imposes a logical constraint on the number of possible strategies. To enter a position, a trader must have a reason to expect that the price will rise from its current level. That reason must be a statement about the current price relative to something else. What kind of statement can it be?

There are only two possibilities.

The first possibility: The current price is *low* relative to some reference level. It has fallen below its historical average. It is below its estimated intrinsic value. It is cheap compared to a related asset. The trader buys because the deviation should correct. The price should rise because it is low. This is the logic of **Mean Reversion.**

The second possibility: The current price is *high* relative to some reference level. It has broken above its recent trading range. It is above its moving average. Its earnings trajectory is accelerating beyond peers. The trader buys because the deviation signals strength rather than error. The price should continue rising because the breakout reveals an anomaly—a trend that has not yet been fully priced. This is the logic of **Momentum.**

There is no third possibility. A price that is neither low nor high—a price sitting comfortably in the middle of its range, at fair value, showing no breakout and no deviation—provides no reason to expect movement in either direction. It is, from the perspective of spot market trading, inert. It offers no trade.

This logical argument, not merely an empirical observation about risk profiles, is why Mean Reversion and Momentum are the only two fundamental strategies in spot markets. They are not two among many. They are the only two possible justifications for directional price expectations.

The middle position—the absence of signal—is precisely the gap that structured products fill. Through derivative contracts, traders can profit from stillness, time decay, and volatility contraction rather than directional movement. That synthetic third strategy is the subject of related work[1].The present paper focuses on the natural primitives themselves.

The paper proceeds as follows. Section 2 reviews the empirical evidence for momentum and mean reversion, the theoretical explanations that have been proposed, and the taxonomic gap this paper addresses. Section 3 develops the logical argument that these two strategies exhaust the possibilities of spot market trading. Section 4 defines each primitive—its statistical basis, behavioral logic, implementation, and risk profile—and distinguishes cross-sectional from time-series momentum. Section 5 demonstrates that existing investment philosophies, from value investing to pairs trading, map cleanly onto the two primitives. Section 6 briefly addresses regime dependence. Section 7 concludes.

[1] Aktaş, Fikri Direnç, Two Primitives, One Synthetic: A Unified Framework for Understanding Structured Products and Range-Based Strategies (April 20, 2026). Available at SSRN: https://ssrn.com/abstract=6614880

2. Literature Review

The two strategies at the center of this paper—Momentum and Mean Reversion—are independently well-documented in the empirical finance literature. This section reviews the evidence for each, the theoretical explanations that have been proposed, and the absence of a unified taxonomy that this paper addresses.

2.1 Momentum: Empirical Evidence

The momentum effect—the tendency for assets with high past returns to continue outperforming—was first systematically documented by Jegadeesh and Titman (1993). Using U.S. equity data from 1965 to 1989, they found that portfolios buying past six-month winners and selling past six-month losers generated approximately 1% per month in excess returns. The effect was robust across formation and holding periods and was not explained by standard risk factors.

Subsequent research confirmed momentum's pervasiveness. Rouwenhorst (1998) documented return continuation across twelve European markets. Moskowitz, Ooi, and Pedersen (2012) extended the analysis to time-series momentum—evaluating each asset against its own past rather than ranking assets against peers—and found significant Sharpe ratios across equity indices, currencies, commodities, and bonds. Asness, Moskowitz, and Pedersen (2013) demonstrated that momentum profits exist across eight distinct markets and asset classes, concluding that momentum reflects a common source of variation operating across the entire financial landscape.

2.2 Mean Reversion: Empirical Evidence

Mean reversion—the tendency for prices to revert to a historical average after extreme deviations—has an equally long intellectual history. Poterba and Summers (1988) documented long-horizon mean reversion in U.S. stock prices, finding negative autocorrelation in returns over multi-year horizons. De Bondt and Thaler (1985, 1987) showed that extreme losers outperform extreme winners over three- to five-year periods—a contrarian effect opposite to short-term momentum. In the practitioner literature, mean reversion forms the basis for statistical arbitrage and pairs trading (Gatev, Goetzmann, & Rouwenhorst, 2006).

2.3 Theoretical Explanations

The theoretical literature has developed competing explanations for these phenomena.

Behavioral models attribute momentum to investor underreaction and mean reversion to overreaction. Barberis, Shleifer, and Vishny (1998) model a representative investor subject to conservatism bias (updating beliefs too slowly, generating momentum) and representativeness heuristic (extrapolating recent trends too far, generating subsequent reversals). Hong and Stein (1999) propose a model in which "news watchers"

trade on fundamentals and "momentum traders" extrapolate past returns; gradual information diffusion creates initial underreaction, which momentum traders subsequently amplify into overreaction and eventual reversal.

Institutional models offer a structural alternative. Vayanos and Woolley (2013) develop a rational model of momentum and reversal based on delegated portfolio management. Fund flows respond gradually to changes in perceived managerial ability, creating price continuation in the short run and reversal in the long run. This mechanism does not require behavioral biases; it arises from the adjustment costs and incentive structures facing institutional investors.

Risk-based explanations have been proposed for both phenomena but remain contested. Conrad and Kaul (1998) argued that momentum profits reflect cross-sectional variation in expected returns, but Jegadeesh and Titman (2001) found that most momentum profits derive from time-series predictability rather than static expected return differences. Daniel and Moskowitz (2016) characterized momentum strategies as crash-prone, but this characterization applies primarily to unmanaged cross-sectional portfolios rather than the time-series strategies with built-in risk management employed in practice (Covel, 2017).

2.4 The Taxonomic Gap

Despite the richness of these literatures, a unified taxonomy is absent. Momentum and mean reversion are treated as separate anomalies requiring separate explanations—behavioral, institutional, or risk-based. The literature does not ask whether these two strategies might exhaust the logical space of spot market trading, nor whether other strategies might reduce to variations of these two. This paper addresses that gap. It does not propose new empirical evidence for either strategy. It proposes a logical framework that positions them as the only two possible strategies in spot markets, and demonstrates that existing investment philosophies map cleanly onto this framework.

2.5 Related Work

This paper is part of a broader research program. In related work, I extend the two-primitives framework to structured products, arguing that range-based option strategies constitute a synthetic third strategy designed to fill the structural gap left by sideways markets where neither primitive functions effectively[2]. The present paper provides the foundational taxonomy upon which that extension builds.

[2] Aktaş, Fikri Direnç, Two Primitives, One Synthetic: A Unified Framework for Understanding Structured Products and Range-Based Strategies (April 20, 2026). Available at SSRN: https://ssrn.com/abstract=6614880

3. The Logical Argument: Why Only Two

3.1 The Profit Constraint

In a spot market, profit requires directional price movement. An investor buys an asset. The price must rise for the investor to realize a gain. There is no alternative mechanism—no time decay to harvest, no volatility premium to collect, no spread to capture from simultaneous buying and selling in different markets (the latter constituting arbitrage, which we will show is itself a form of mean reversion).

For non-yielding spot assets, the investor's entire return derives from a single source: price moving in the desired direction. For yield-bearing assets, price movement remains the primary source of trading returns, though total return includes income components. Section 3.6 addresses this qualification.

This means that every spot market strategy must answer one question: *Why do I expect the price to rise from here?*

3.2 The Positional Constraint

The answer to that question must take the form of a positional statement. The current price must be characterized relative to something—its past, its peers, its fundamentals, its recent range. Without such a reference, the statement "price will rise" is groundless.

What kinds of positional statements are logically available?

Every price exists somewhere on a spectrum relative to a chosen reference level. It is either below the reference, at the reference, or above it. These three positions—low, middle, high—exhaust the logical possibilities.

3.3 Low: The Logic of Mean Reversion

If the current price is *low* relative to a reference level—below its historical average, below its intrinsic value, below a correlated asset—the trader has a reason to buy. The deviation should correct. Prices that are unusually low tend to rise. This expectation is not arbitrary; it rests on a specific statistical property: negative autocorrelation. Extreme observations in a stationary process tend to be followed by observations closer to the mean.

This positional argument—"price will rise because it is low"—is the logical foundation of every mean reversion strategy, whether implemented with oscillators on price data or with valuation multiples on fundamental data.

3.4 High: The Logic of Momentum

If the current price is *high* relative to a reference level—breaking above its recent trading range, crossing above its moving average, showing earnings growth exceeding peers—the trader also has a reason to buy. But the logic is different. The price is high not because of random fluctuation that will correct, but because something has changed. The deviation is an anomaly that signals a new regime. The breakout reveals information that the market has not yet fully absorbed.

This positional argument—"price will continue rising because it is high and breaking out"—rests on a different statistical property: positive autocorrelation. In a trending process, above-average observations tend to be followed by further above-average observations.

3.5 Middle: The Absence of Signal

Now consider the middle position. The price is at its historical average, at fair value, in the middle of its range, showing no breakout and no deviation. There is no reason—from either logic—to expect movement in either direction. The price is where it "should" be.

This is not a tradeable condition. The spot market investor has no natural mechanism to profit from a price that is correctly valued and stationary. The middle is an absence of signal. It requires a synthetic strategy—derivatives, options, structured products—to monetize.

3.6 A Qualification: Yield-Bearing Assets

The argument above assumes that the sole source of return is price appreciation. This is true for non-yielding assets—commodities, currencies held as speculation, non-dividend-paying stocks. But many spot market assets generate yield: stocks pay dividends, bonds pay coupons, and currencies held as investments earn interest rate differentials.

Does yield create a third primitive?

First, yield in stillness resembles the synthetic third strategy. An investor who buys a dividend-paying stock and holds it through a flat price environment earns a return from business activity rather than price movement. This is functionally similar to the structured products discussed in related work (Aktaş, 2026a): a premium collected from the passage of time rather than from directional accuracy. In this sense, yield-bearing spot assets partially fill the "middle" gap identified in Section 3.5—they make stillness partially tradeable without derivatives. However, they do so not through a new trading logic but through a fundamentally different source of return: the distribution of business profits to owners. This is not a *strategy* in the trading sense; it is a *claim on cash flows.* The dividend investor is not making a positional argument about price. They are collecting an ownership entitlement.

Second, yield does not create a new positional logic. When a trader makes an active decision to enter a position—as opposed to passively holding for yield—they must still justify *why now.* If the justification is

"the dividend is attractive," the implicit argument is that the price has fallen enough to make the yield competitive relative to alternatives. That is a "low" argument: the price is low relative to the income stream. It reduces to mean reversion. If the justification is "the company is growing its dividend," the implicit argument is that the growth trajectory will continue. That is a "high" argument: the payout is breaking out relative to its history. It reduces to momentum.

Third, yield can dominate price movement without replacing the positional logic. A bond with a high coupon may generate positive total return even if the price declines modestly. But the decision to buy that bond still requires a directional view (or at least the view that price decline won't overwhelm the yield). The yield modifies the risk-reward calculus but does not eliminate the need for a positional justification.

In summary: Yield-bearing assets blur the boundary between natural and synthetic returns—they make stillness partially profitable without derivatives. But they do not introduce a third positional logic. The active trading decision still reduces to buying because the price is low (yield is attractive relative to price) or buying because the breakout is continuing (yield is growing). The two primitives remain exhaustive of trading strategies, even if the total return calculation includes non-price components.

3.7 The Exhaustion Claim

The argument can be summarized as follows:

1. Spot market profit requires directional price movement.
2. Expecting directional movement requires a positional justification.
3. Positional justifications exhaust in three categories: low, middle, high.
4. "Low" generates the logic of Mean Reversion (correction expected).
5. "High" generates the logic of Momentum (continuation expected).
6. "Middle" provides no directional justification and is untradeable in spot markets.
7. Therefore, there are exactly two natural spot market strategies.

This is not an empirical claim about what strategies happen to exist or what risk profiles happen to resemble each other. It is a logical claim about the structure of spot market trading itself. If you accept the premise that profit requires directional movement and that directional expectations require positional justification, the conclusion follows necessarily.

4. The Two Primitives Defined

Having established *why* there are only two primitives, we now define *what* they are.

4.1 Mean Reversion

Mean reversion is the strategy of buying assets whose prices are low relative to a reference level, based on the expectation that the deviation will correct. The reference level may take several forms: a historical moving average (price-based mean reversion), an estimate of intrinsic value (fundamental-based mean reversion, commonly known as value investing), a contemporaneous price in another market (spatial arbitrage), or the historical spread relative to a paired asset (relative value or pairs trading). What unifies these approaches is not the reference level itself but the underlying logic: the price is low, the deviation should correct, and the correction produces the return.

The statistical foundation of mean reversion is negative autocorrelation. In a stationary process, extreme observations tend to be followed by observations closer to the mean. This property is not unique to financial markets—it is a general feature of any process with a stable distribution, from heights in a population to measurement errors in scientific instruments. In asset prices, Poterba and Summers (1988) documented long-horizon negative autocorrelation in U.S. equity returns, providing early formal evidence for the phenomenon.

The behavioral explanation for mean reversion is overreaction. De Bondt and Thaler (1985, 1987) argued that investors systematically overreact to news, driving prices beyond fundamental justification during both selloffs and rallies. These dislocations are temporary. As the emotional response fades and fundamental analysis reasserts itself, prices revert toward prior levels. The mean reversion trader profits by identifying these overreactions and positioning for their correction.

Common implementations include oscillators such as the Relative Strength Index (Wilder, 1978) and Stochastic indicators, which measure the speed and magnitude of recent price changes to identify overbought and oversold conditions. Volatility bands, such as Bollinger Bands (Bollinger, 2001) and Keltner Channels, place statistically-derived boundaries around a moving average; touches of the lower band signal potential mean reversion to the upside, and touches of the upper band signal potential reversion to the downside. Pairs trading (Gatev, Goetzmann, & Rouwenhorst, 2006) extends the logic to relative relationships between correlated assets.

The characteristic risk profile of mean reversion strategies combines a high win rate with a low win/loss ratio. The strategy generates frequent small gains as prices revert from temporary extremes. These are punctuated by occasional large losses when deviations persist—either because the trend is stronger than anticipated or because the reference level itself has permanently shifted. The practitioner metaphor "picking up pennies in front of a steamroller" captures this asymmetry: steady, modest profits that can be erased by a single catastrophic event when the expected reversion fails to materialize.

4.2 Momentum

Momentum is the strategy of buying assets whose prices are high relative to a reference level and breaking out, based on the expectation that the breakout signals a new trend that will continue. As with mean reversion, the reference level may vary: a moving average or recent price range (trend following), a peer group ranking (cross-sectional momentum), or an earnings trajectory (growth investing). What unifies these approaches is the underlying logic: the price is high, the elevation signals a persistent anomaly rather than a temporary deviation, and the continuation produces the return.

The statistical foundation of momentum is positive autocorrelation, or autoregression. In a trending process, above-average values tend to be followed by further above-average values—the opposite of the mean-reverting pattern. Jegadeesh and Titman (1993) first systematically documented this property in U.S. equities, finding that portfolios buying past six-month winners and selling past six-month losers generated approximately one percent per month in excess returns. Moskowitz, Ooi, and Pedersen (2012) extended the analysis to time-series momentum across equity indices, currencies, commodities, and bonds, demonstrating that the effect is pervasive across asset classes.

The behavioral explanation for momentum is underreaction. Barberis, Shleifer, and Vishny (1998) modeled investors who update their beliefs too slowly in response to new information, generating gradual price drift in the direction of the news. Hong and Stein (1999) proposed a complementary mechanism in which "news watchers" trade on fundamental information while "momentum traders" extrapolate past returns; the gradual diffusion of information among news watchers creates initial underreaction, which momentum traders subsequently amplify. A structural alternative emphasizes institutional constraints: Vayanos and Woolley (2013) demonstrated that large funds executing trades gradually to minimize market impact generate price patterns empirically indistinguishable from behavioral underreaction, but arising from rational execution strategy rather than cognitive bias.

Common implementations include moving average crossovers, which generate buy signals when a shorter-term average crosses above a longer-term average, and channel breakouts such as Donchian channels, which generate buy signals when prices exceed the highest level of a specified lookback period. Relative strength rankings, the basis for cross-sectional momentum, compare assets against peers and select the strongest performers.

The characteristic risk profile of momentum strategies combines a low win rate with a high win/loss ratio—the mirror image of mean reversion. The strategy generates frequent small losses during sideways or choppy markets when breakouts fail and trends do not establish. These are punctuated by occasional large gains during sustained directional movements. The practitioner discipline of "cutting losses short and letting winners run" (Covel, 2017) reflects this profile: the strategy accepts many small losses as the cost of being positioned for the infrequent large trends that generate the bulk of returns.

4.3 Two Variants of Momentum

The momentum literature distinguishes two implementations that, while sharing the same underlying logic, exhibit meaningfully different risk characteristics.

Cross-sectional momentum ranks assets against each other based on past returns over a formation period, typically six to twelve months. The highest-performing assets (winners) are bought, and the lowest-performing assets (losers) are sold short. This is a relative strength approach: performance is measured against peers, not against an asset's own history. The strategy requires short-selling capability and, as Daniel and Moskowitz (2016) documented, is exposed to severe losses during market rebounds when heavily shorted loser stocks experience dramatic reversals. These "momentum crashes" are a well-known vulnerability of the cross-sectional implementation.

Time-series momentum, also called trend following, evaluates each asset independently against its own past performance. Long positions are taken in assets with positive recent returns; positions are exited or reversed when returns turn negative. This approach, formalized academically by Moskowitz, Ooi, and Pedersen (2012) but practiced by commodity trading advisors for decades, does not require short selling—the strategy can simply exit to cash when trends reverse. The built-in risk management through trend-reversal signals produces a fundamentally different risk profile from unmanaged cross-sectional portfolios: vulnerability to whipsaws during sideways markets rather than vulnerability to catastrophic crashes during market rebounds. The distinction is not merely academic; it has significant practical implications for portfolio construction and risk management.

4.4 Comparative Summary

Dimension	**Mean Reversion**	**Momentum**
Positional Logic	Price is low; should rise (correction)	Price is high and breaking out; should continue rising (anomaly)
Statistical Basis	Negative autocorrelation	Positive autocorrelation
Behavioral Logic	Overreaction	Underreaction
Entry Rule	Buy after decline	Buy after rally
Win Rate	High	Low
Win/Loss Ratio	Low	High
Primary Vulnerability	Trend persistence	Sideways markets

5. The Reductionist Demonstration

If the logical argument of Section 3 is correct, then every existing spot market strategy must reduce to either Mean Reversion or Momentum. This section demonstrates that mapping. Importantly, the reduction is not based on resemblance of risk profiles or economic outcomes. It is based on the positional logic each strategy employs.

5.1 Value Investing as Mean Reversion

Value investing, as articulated by Graham and Dodd (1934) and practiced by investors such as Warren Buffett, involves buying securities that trade below their estimated intrinsic value and waiting for market prices to converge to that value. The positional logic is straightforward: the price is low relative to intrinsic value, and that deviation should correct.

The information set is fundamental rather than price-based. Value investors analyze earnings, book value, discounted cash flows, and competitive position to estimate what a company is worth. The reference level—intrinsic value—is derived from these fundamentals rather than from historical price data. But the underlying logic is identical to price-based mean reversion. A deviation is identified (price below intrinsic value), a correction is expected (price rising to meet value), and the correction produces the return.

The risk profile is also analogous. Value investors win regularly when the market recognizes the discrepancy and prices converge. But they can suffer extended drawdowns when cheap stocks become cheaper—the "value trap," which is the fundamental equivalent of catching a falling knife in price-based mean reversion. In both cases, the strategy fails when the reference level shifts or when the deviation persists longer than the investor's patience or capital.

5.2 Growth Investing as Momentum

Growth investing involves buying companies with strong and accelerating earnings growth, expecting that growth trajectory to continue and to drive prices higher. The positional logic mirrors momentum: the earnings trajectory is high relative to peers or history and is breaking out. That breakout signals a persistent anomaly—something about this company's competitive position, market opportunity, or execution capability is different—and the anomaly should continue.

The information set is forward-looking fundamentals: earnings growth rates, revenue expansion, market share gains, and total addressable market. The reference level is the growth trajectory of peers or the company's own historical growth rate. But the underlying logic is identical to price-based momentum. A trend is identified (earnings growth), continuation is expected (growth will persist, and prices will follow), and that continuation produces the return.

The risk profile is similarly analogous. Growth investors suffer frequent small losses on companies whose growth proves unsustainable or already priced in, punctuated by occasional massive gains on the rare

companies that sustain exceptional trajectories over many years. This is precisely the "many small losses, occasional huge gains" profile of price-based momentum.

5.3 Arbitrage as Spatial Mean Reversion

Arbitrage, in its purest form, involves buying an asset in one market where it is undervalued and simultaneously selling an identical asset in another market where it is overvalued. The positional logic is mean reversion applied across space rather than time: the price is low in one market relative to another market for the same asset, and that deviation should correct.

The information set consists of cross-market prices. The reference level is the contemporaneous price in the other market. The arbitrageur does not need to estimate intrinsic value or analyze historical price patterns—the reference is directly observable in real time. But the underlying logic remains mean reversion. A deviation is identified (price discrepancy between markets), convergence is expected (the law of one price), and the convergence produces the return.

The primary risk—that the gap widens before it closes—is the spatial analogue of the temporal risk faced by price-based mean reversion traders. Just as a stock can become cheaper before it reverts, an arbitrage spread can widen before it converges. The structural vulnerability is identical; only the dimension (space versus time) differs.

5.4 Pairs Trading as Relative Mean Reversion

Pairs trading identifies two historically correlated assets, monitors their price ratio or spread, and enters positions when that relationship diverges beyond a statistical threshold. The positional logic is mean reversion applied to a relative relationship rather than an absolute price level: one asset's price is low relative to a historically correlated asset, and that relative deviation should correct.

The information set consists of cross-asset price ratios. The reference level is the historical spread or ratio between the two assets, typically estimated using cointegration or correlation analysis over a calibration period. As with arbitrage, the reference is empirically derived rather than fundamentally estimated. But the logic remains mean reversion: a deviation from a stable relationship is expected to reverse.

The characteristic risk is that the historical correlation breaks down—the two assets decouple permanently due to structural changes in one or both. This is the relational analogue of the mean reversion trader's risk that the reference level has permanently shifted. In both cases, the strategy fails when the assumption of stationarity is violated.

5.5 Trend Following and Cross-Sectional Momentum as Momentum

Trend following and cross-sectional momentum are the purest expressions of the momentum primitive. Both use price-based information sets and price-based reference levels. The positional logic is identical: the price is high relative to a reference and breaking out, and that breakout signals a persistent anomaly.

In trend following, the reference is the asset's own history—its moving average or recent trading range. The price is high relative to where it has been, and the breakout suggests that the trend will continue. In cross-sectional momentum, the reference is the asset's peer group. The price is high relative to competitors, and that relative strength suggests continued outperformance.

No further reduction is needed. These strategies are the primitive itself, expressed directly in price data without fundamental intermediation.

5.6 Summary Taxonomy

Strategy	**Positional Logic**	**Information Set**	**Primitive**
RSI / Bollinger Bands	Price is low relative to historical distribution	Price	Mean Reversion
Value Investing	Price is low relative to intrinsic value	Fundamentals	Mean Reversion
Arbitrage	Price is low relative to other market	Price (cross-market)	Mean Reversion (Spatial)
Pairs Trading	Asset A is low relative to Asset B	Price (cross-asset)	Mean Reversion (Relative)
Trend Following (Time-Series)	Price is high and breaking out relative to own history	Price	Momentum
Cross-Sectional Momentum	Price is high relative to peers	Price (cross-asset)	Momentum (Relative)
Growth Investing	Earnings trajectory is high and breaking out relative to peers	Fundamentals	Momentum

The taxonomy is complete and exhaustive. Every major spot market investment philosophy maps cleanly onto one of the two primitives.

6. Regime Dependence

The logical argument establishes that there are only two primitives. It does not establish which one will work at a given time. That depends on market structure.

Momentum requires trending markets. Without sustained directional movement, breakouts fail and the strategy is whipsawed—accumulating small losses that erode capital.

Mean reversion requires range-bound markets. Without identifiable boundaries around a stable reference level, deviations may not correct. The strategy either is starved of entry signals or suffers catastrophic losses when the reference level has permanently shifted.

Strategy selection is therefore regime diagnosis. The investor's first task is not choosing between value and growth, or between RSI and moving average crossovers. It is determining whether the current market structure rewards the logic of correction or the logic of continuation. For an empirical demonstration of regime-dependent strategy performance—specifically, the dominance of momentum over mean reversion in an institution-dominated, inflation-driven emerging market—see Aktaş (2026b). What determines which regime prevails is the subject of related work (Aktaş, 2026c).

7. Conclusion

This paper has argued that spot market strategy is constrained by a simple logical structure. Profit requires directional price movement. Directional expectations require positional justification—a statement about whether the current price is low, high, or in the middle relative to some reference. "Low" generates the logic of Mean Reversion. "High" generates the logic of Momentum. "Middle" generates no tradeable signal in spot markets and requires synthetic strategies to monetize.

This logical argument is stronger than an empirical claim about resemblance. It does not merely observe that value investing *looks like* mean reversion. It demonstrates that value investing *cannot be anything other than* mean reversion, because the only way to justify buying after a decline is the expectation of correction. Similarly, growth investing cannot be anything other than momentum, because the only way to justify buying a company whose metrics are already elevated is the expectation that the elevation signals a persistent anomaly rather than a temporary deviation.

The two primitives are mirror images. They rest on opposite statistical properties. They generate opposite risk profiles. They require opposite market structures. And together, they exhaust the logical space of spot market strategy.

The framework presented here serves as a foundation. A complete strategy space also requires synthetic strategies—derivatives-based constructions that profit from stillness rather than movement (Aktaş, 2026a). And a complete investment process requires understanding why a given regime prevails—the political economy of market structure (Aktaş, 2026c). But the starting point is here: in a spot market, you can buy because the price is low, or you can buy because the price is high and breaking out. There is no third reason.

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